

Buffett's preliminary test:

1. **High and consistent ROE** (higher than 12%)
2. **High and consistent return on total capital (or ROA).** This can be used to verify if businesses are engineering their ROE, because if they carry a lot of debt it will show up in a lower ROA. Occasionally companies' earning power is so strong they have no equity at all. In this case look to return on total capital as the preferred metric

Operating Performance

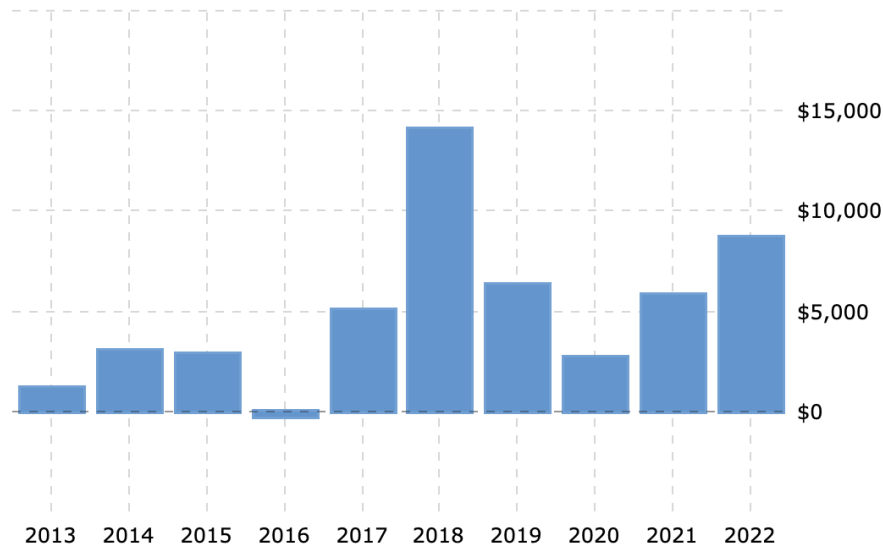
Fiscal	2017	2018	2019	2020	2021	2022	TTM	5-Yr	Index
	55.52								
	-6.15								
Return on Assets %	16.19	35.92	13.68	5.24	10.42	13.88	-4.45	12.80	10.02
Return on Equity %	33.15	55.52	18.52	7.18	14.14	18.51	-6.15	17.97	27.06
Return on Invested Capital %	21.78	43.04	15.87	6.28	12.32	16.15	-5.10	14.99	17.49

a.

3. **A strong history of consistently increasing earnings.** One or two years of negative or decreasing can be okay as long as their moat was not breached (this can usually be a great buying opportunity)

MU - Net Income

Annual Values (Millions of US \$)



a.

4. **Can pay off debt in at least 4 years of earnings.** A lot of debt is bad b/c in a recession their earning power will most likely decrease or go away. Can they still pay off their debts with no earnings? Probably not

LT Debt to Earnings	0.69	LT Debt to FCF	1.93
Net Debt to Earnings	0	Net Debt to FCF	0

a.

Updated: 08/27/2023

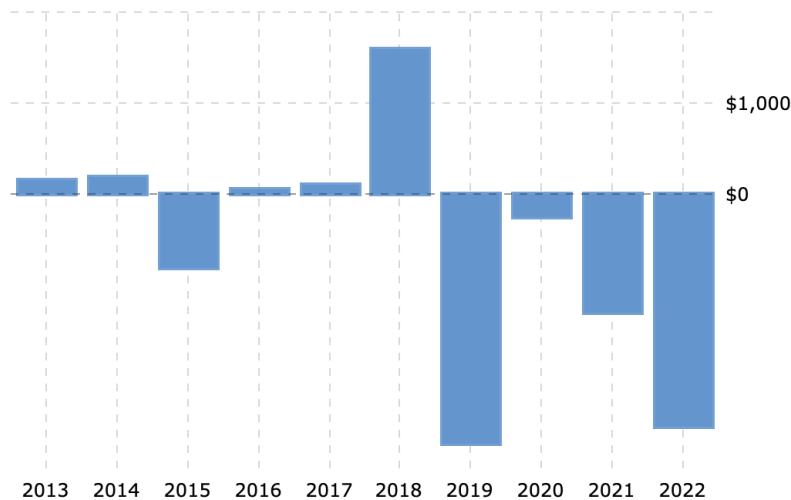
* in millions

5. **The company must sell the right (brand name) competitive product or service.** Want something that is essential in society but wears out quickly.

6. **Can raise prices with inflation.** Product or service must be inflation proof. Raising prices with inflation also usually increases EPS.
 - a. So far, no
 - b. <https://www.fool.com/investing/2023/05/17/memory-chip-prices-are-still-tumbling-is-micro-n-st/>
 - c.
7. **Company allocates retained earnings efficiently.** Operational costs must be low. Take EPS for ten year period and divide it by retained earnings for ten year period to find out how well the company used its retained earnings to produce higher income. Above 15% is great. You don't want companies that are constantly using retained earnings just to maintain their economic position (you want them to be growing) Refer to pages 142-143 for Calc examples
 - a. 15.9% (Refer to 'Calculations' tab of 'MU Financials' file)
8. **Does the company show a strong history of buying back shares?**

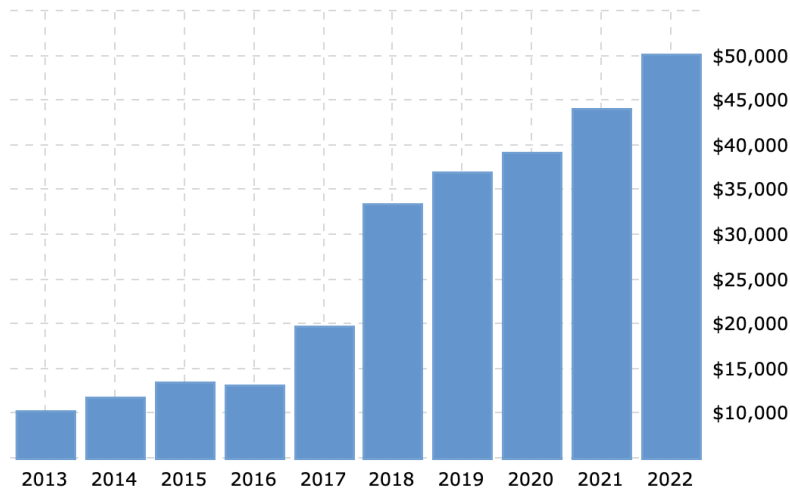
MU - Net Common Equity Issued/Repurchased

Annual Values (Millions of US \$)



- a.
9. **Are the company's share price AND book value both rising relatively equally over a ten year period?**

MU - Share Holder Equity
Annual Values (Millions of US \$)



a.

i. (Book Value, +400% over period)



b.

i. (Share Price, +344% over period)

Ackman 8:

1. Simple and predictable
2. Producing cash flow
3. Dominating in their market niche
4. Large barriers to entry
5. High return on capital
6. Good balance sheet (little to no debt)
7. Limited exposure to outside influence (legislators, regulatory agencies, etc)
8. Excellent management and good governance
9. Business is on sale